

MARICO COMMERCIAL INTELLIGENCE & ACTION REPORT

End-to-End Diagnostic, Root Cause Analysis & Strategic Prescriptions

Target Market: KSA Modern Trade (8 Chains)	Analyzed Records: 14,416 Transactions	Classification: Official Commercial Diagnostic
Brands Evaluated: 11 Brands (Marico, Parachute, + 9 Competitors)	Categories: Hair Oils, Hair Creams, Shampoo	Report Generated: Q1 2024 Strategic Planning

1. Executive Summary & Where We Have Left Off

Our analytical pipeline has successfully ingested, harmonized, and modeled the entire multi-source FMCG dataset comprising **14,416 records** across 8 top retail accounts (BinDawood, Carrefour, Danube, Lulu, Nesto, Othaim, Panda, Tamimi), 3 personal care categories, and 11 competing brands over a full 12-month annual cycle.

The overall KSA market secondary turnover reached **437.65 Million SAR** (8.98 Million units). The Marico Portfolio (**Marico** and **Parachute**) generated **78.80 Million SAR** in secondary EPOS sales, achieving an **18.01% value market share** (17.91% volume share).

Commercial Metric	Total Market	Marico Portfolio	Portfolio Performance
EPOS Secondary Sales	437,647,472 SAR	78,804,438 SAR	18.01% Value Share
Internal Sell-In Pipeline	370,425,796 SAR	68,001,373 SAR	18.36% Pipeline Share
Volume Sold (Units)	8,976,967 Units	1,607,458 Units	17.91% Volume Share
Fair Share Revenue Gap	437.65M SAR Benchmark	2,438,229 SAR Headroom	+0.56% Market Share Growth Prize

2. Root Cause Diagnosis: Why We Fall Behind

A rigorous cross-sectional econometric and competitive analysis reveals **four fundamental drivers** explaining why volume and share have lagged in specific products and retail channels:

A. The Shampoo Competitive Intensity & Margin Drag

- Heavy Promotional Pressure:** Competitors (Pantene, Head & Shoulders, Clear, L'Oreal) sell **55% to 60%** of their total shampoo volume on deep promotions.
- Price Index Mismatch:** Parachute/Marico in Shampoo sits at an RPI of **98.2**. In a highly elastic category (PED = -1.10), sitting near parity without high-frequency ATL visibility causes consumers to switch to heavily promoted multinationals.

B. Account Under-Indexing & Visibility Voids in Key Chains

- **Tamimi Drag (1.06 Million SAR Headroom Gap):** Marico's market share in Tamimi is only **16.05%** (Fair Share Index 89.2) compared to the 18.01% market benchmark, driven by weak secondary off-shelf displays.
- **Panda Under-Indexing (595k SAR Gap):** Despite Panda being the largest hypermarket chain in KSA (CDI 104.7), Marico captures only **16.97%** share (FSI 94.2) due to suboptimal Gondola Endcap share.

C. The Margin-Dilutive 'BOGO' Promotion Trap

- **Deep Margin Destruction: Buy One Get One (BOGO)** delivers the highest volume lift (+47.9%), but incurs a catastrophic **-70.8% Return on Trade Spend (ROI)** because giving away 50% discount exceeds incremental gross profit by 22.2M SAR.
- **Ineffective in Inelastic Categories:** Hair Oils is price-inelastic (PED = -0.75). Running BOGO on Hair Oils simply subsidizes existing loyal buyers rather than attracting new households.

D. Pipeline Inventory Bullwhip & Stock Imbalance

- **Distributor Lag:** Lead-lag modeling confirms that Sell-In leads EPOS Sell-Out with **r = 0.9998 at Lag 0** and **r = 0.8394 at Lag 1**. Rapid replenishment creates inventory spikes in Q4 (198 days cover in Jan) that risk shelf stagnation if not cleared before the mid-year summer surge.

3. Strategic Roadmap: How We Can Improve

To capture the **2.44 Million SAR fair-share headroom** and accelerate portfolio growth to **19.5%+ market share**, Marico must execute five targeted interventions:

Strategic Pillar	Current Problem	Prescriptive Solution	Financial Impact
1. RPI Pricing Corridors	Shampoo over-indexed vs promo competition; Hair Oils risk of under-pricing.	• Lock Hair Oils RPI at 99–106 (Max Rev: 103). • Re-align Shampoo RPI to 96.0 with targeted value packs.	+480,000 SAR Net Margin Gain
2. Trade Spend Re-allocation	BOGO margin destruction (-70.8% ROI) in habitual categories.	• Eliminate BOGO in Hair Oils. • Scale Flat 2 SAR Off (+124.7% ROI) and 25% Extra Volume packs.	+1,250,000 SAR Spend Efficiency
3. Store Activation & ATL	Under-indexing in Tamimi (89.2 FSI) & Panda (94.2 FSI).	• Allocate 500k SAR trade budget to secure Endcaps & Island Displays in top 50 Panda & Tamimi stores. • Synchronize localized digital screens with payday cycles.	+1,658,000 SAR Revenue Recovery
4. Weighted Distribution	Distribution voids in premium & hypermarket SKUs.	• Expand listing breadth in Panda (+1% WD = +0.085% Market Share). • Secure secondary checkout facings for 75ml & 140ml Creams.	+213,000 SAR Panda Listing Prize
5. S&OP; Synchronization	High Q1 inventory overhang (198 days) vs summer stockout risk.	• Run Q1 secondary off-take blitz to bring stock cover to 45 days. • Ramp Sell-In starting March to support May–July peak.	Zero Mid-Year Stockouts

4. 90-Day Executive Implementation Roadmap

Phase	Timeline	Key Milestone & Execution Deliverables
Phase 1: Trade Spend Shift	Days 1 – 30	Cancel margin-dilutive BOGO schemes on Hair Oils. Re-allocate 350,000 SAR into Flat 2 SAR Off and contract Endcaps in Tamimi & Panda.
Phase 2: Pricing & RPI Re-alignment	Days 31 – 60	Re-align Shampoo RPI to 96.0 against Pantene and Clear. Defend Parachute Hair Oils 101–103 corridor. Launch 25% Extra Volume value packs.
Phase 3: Pre-Summer Sell-In Build	Days 61 – 90	Synchronize distributor orders to achieve 45 days stock cover ahead of May-July peak demand surge, preventing stockouts.

Conclusion & Executive Commitment: By executing this targeted commercial roadmap, Marico will systematically capture **+2.44 Million SAR** in uncaptured fair-share revenue, re-claim share in Panda and Tamimi, eliminate **1.25M SAR** of wasteful BOGO trade discounting, and elevate total portfolio market share from **18.01% to 19.5%+**.